Applied Portfolio Management

Qualcomm (NASDAQ: QCOM) – Equity Research Report

Prepared by:

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Under the Guidance of:

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Qualcomm

Semiconductors & Wireless Communication

NASDAQ: QCOM

Key Figures	
TTM P/E	16.03
FWD P/E	12.77
Market Cap	$164.3bn
52 Week Low	$120.80
52 Week High	$230.63
Dividend	$3.30
Dividend Yield	2.28%
Total Shares Outstanding	1,116.00mn
Enterprise Value	$171.1bn
Free Float	99.83%
Beta 1Y	1.29
EV/Revenue	4.04*x*
EV/EBITDA	12.29*x*

Recommendation: Buy
Target Price: $200.90

Current Price: $148.56 (04/26/2025)
Upside: 35.2%

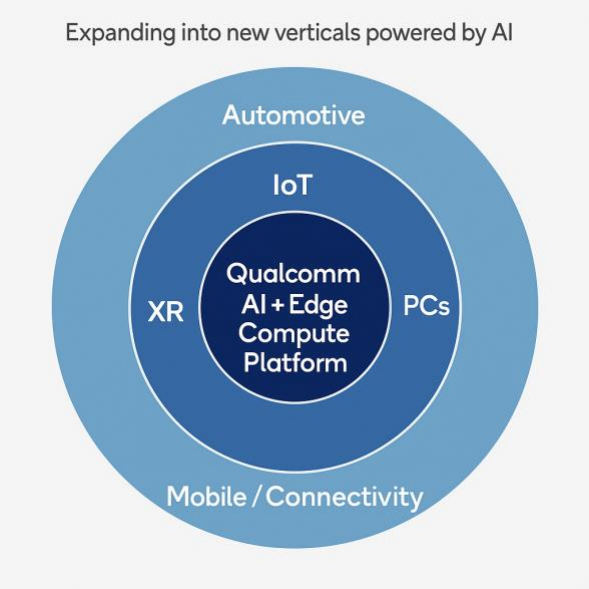
Qualcomm (NASDAQ: QCOM) remains one of the semiconductor sector's most compelling large-cap value opportunities. The company is a global wireless technology pioneer with thousands of foundational patents in 3G, 4G, and 5G standards, licensing which generates robust, high-margin cash flows from virtually every mobile handset maker. With its stock trading at a forward P/E of just 14.7× and offering a dividend yield of ~6.0%, Qualcomm is priced well below its intrinsic value, despite commanding dominant market share in wireless connectivity and delivering consistent free cash flow.

Investor sentiment has recently been pressured by concerns over Apple's in-house modem development, cyclical handset weakness, and ongoing regulatory scrutiny of its licensing business (QTL). However, these issues obscure the bigger picture: Qualcomm rapidly transforms into a connected computing leader, scaling its Snapdragon platforms across automotive, IoT, PCs, and edge AI devices. Automotive and IoT now contribute 25% of QCT revenues and are expected to grow at 28% and 9% CAGRs , respectively, through 2026, according to management guidance. Qualcomm has a solid balance sheet, over $13 billion in cash, disciplined capital returns, and unmatched intellectual property in wireless and computing. Qualcomm has the foundation of a wide-moat business and the upside of a long-term growth compounder.

In the spirit of Benjamin Graham, Qualcomm offers both a margin of safety and asymmetric return potential, trading at value-stock multiples while executing a high-growth platform strategy. As the market begins to price in the company's diversification and monetization of AI-driven end markets, investors at today's levels are well-positioned for attractive total returns.

Qualcomm – A New Era

As artificial intelligence (AI) reshapes industries worldwide, companies seek to drive innovation through AI research or harness AI advancements across adjacent fields. Qualcomm stands at the nexus of both efforts, supporting the industry's evolution and embedding AI capabilities across its product portfolio. Originally rising to prominence by pioneering Code Division Multiple Access (CDMA) technology, a groundbreaking method that revolutionized wireless communications, Qualcomm has consistently played a leading role in developing and commercializing each major generation of wireless technology, from 3G to 4G to 5 G.

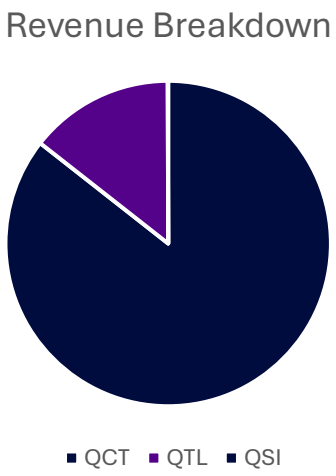


Over the decades, the company's business model has expanded beyond its roots in mobile communications to encompass a broader vision of intelligent edge computing. Today, Qualcomm is positioning itself as a connected computing leader for the "age of AI," scaling its core technologies across industries such as automotive, the Internet of Things (IoT), and personal computing. Qualcomm is driving innovation in automotive through its Snapdragon® Digital Chassis™ platforms, supporting advanced connectivity, digital cockpit experiences, and advanced driver assistance and automated driving (ADAS/AD) systems. In IoT,

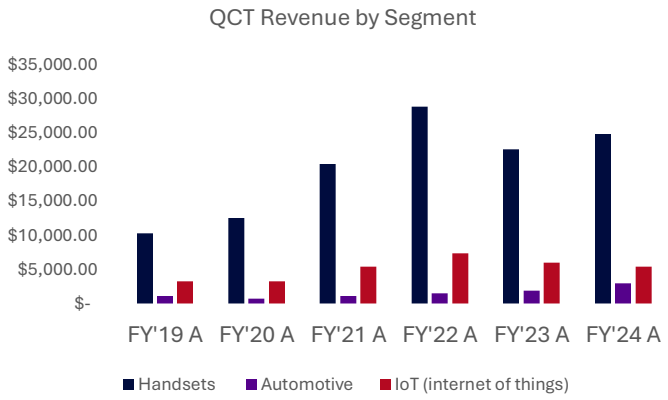
the company is expanding its reach across consumer electronics, edge networking, and industrial applications. At the same time, Qualcomm continues to lead in mobile devices, building on its longstanding expertise in wireless connectivity and mobile computing to deliver next-generation experiences.

Revenue Lines

Qualcomm operates primarily through three business segments: Qualcomm CDMA Technologies (QCT), which focuses on semiconductor and system solutions; Qualcomm Technology Licensing (QTL), which manages the company's extensive portfolio of intellectual property; and Qualcomm Strategic Initiatives (QSI), which oversees strategic investments in emerging technologies. In fiscal 2024, QCT generated revenues of approximately $33.2 billion, representing 85% of total company revenues, while QTL contributed $5.6 billion.



Qualcomm's semiconductor portfolio, particularly its Snapdragon platform, powers a wide range of devices, including smartphones, tablets, laptops, automotive systems, extended reality (XR) headsets, and Internet of Things (IoT) products. In mobile, Qualcomm continues to lead with high-performance, low-power chips that integrate cellular modems, graphics processors, AI engines, and radio-frequency front-end (RFFE) components, delivering optimized performance and energy efficiency across premium-tier devices.



The company is actively expanding into automotive through its Snapdragon® Digital Chassis™ platform, offering a comprehensive suite of solutions for connectivity, digital cockpit experiences, and advanced driver assistance and automated driving (ADAS/AD) capabilities. Automotive revenues grew by 55% year-over-year in fiscal 2024 and are expected to achieve a 22% compound annual growth rate (CAGR) over the next five years, through 2030, driven by adoption across major OEMs such as Li Auto and Mercedes-Benz.

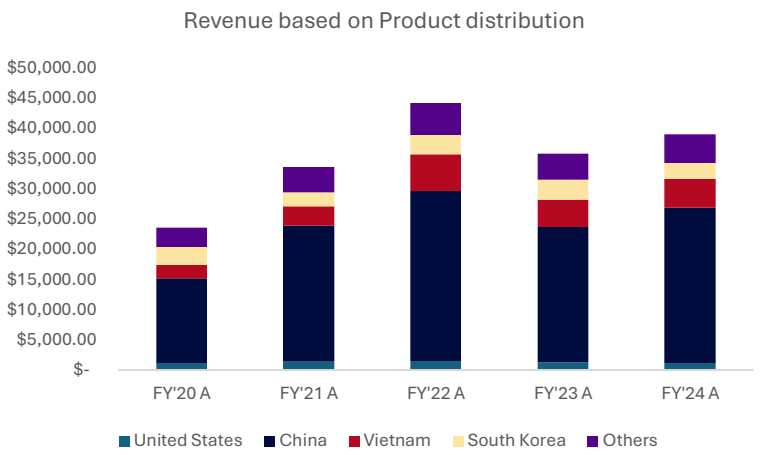
Qualcomm is deepening its presence across consumer and industrial markets in the IoT segment by providing chipsets for smart home devices, industrial automation, logistics, utilities, and next-generation networking equipment, including Wi-Fi 6, 6E, and emerging Wi-Fi 7 technologies. IoT revenues have expanded at a CAGR of 15% over the past five years, and the segment is forecasted to maintain a strong growth trajectory, supported by the rising demand for edge AI solutions across industries.

A major area of growth for Qualcomm is on-device artificial intelligence (AI), where the company is investing heavily to enable smartphones, PCs, and edge servers to process large generative AI models locally. This shift toward edge AI offers critical benefits such as faster responsiveness, enhanced personalization, and improved data privacy. Qualcomm's strategic vision was underscored at its recent Snapdragon Summit, where the company introduced the Snapdragon 8 Elite, the world's fastest mobile CPU, and announced strategic collaborations with Microsoft, Meta, Amazon, and others to accelerate the adoption of AI capabilities across edge devices.

At the heart of QCT's offerings is the Snapdragon® family of system-on-chip (SoC) platforms, which seamlessly integrate Qualcomm's proprietary modems, application processors (CPU, GPU, NPU), AI engines, and radio components to deliver best-in-class performance-per-watt across mobile, automotive, and IoT end markets. Meanwhile, QTL's licensing model provides a highly profitable and recurring revenue stream through per-unit royalties tied to global shipments of 3G, 4G, and 5G devices, leveraging Qualcomm's industry-leading

intellectual property portfolio. Complemented by QSI's targeted investments in emerging technologies and adjacent industries, Qualcomm's integrated platform-and-licensing approach reinforces its leadership at the intersection of intelligent edge computing and wireless connectivity.

Geographic Distribution and Revenue Drivers

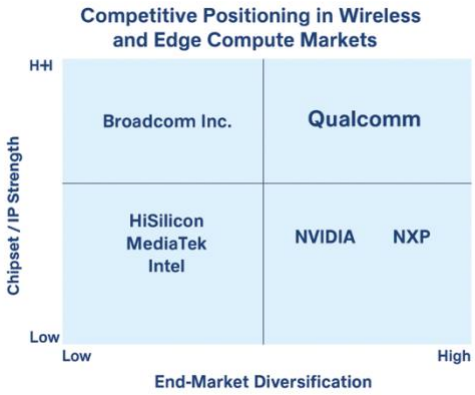


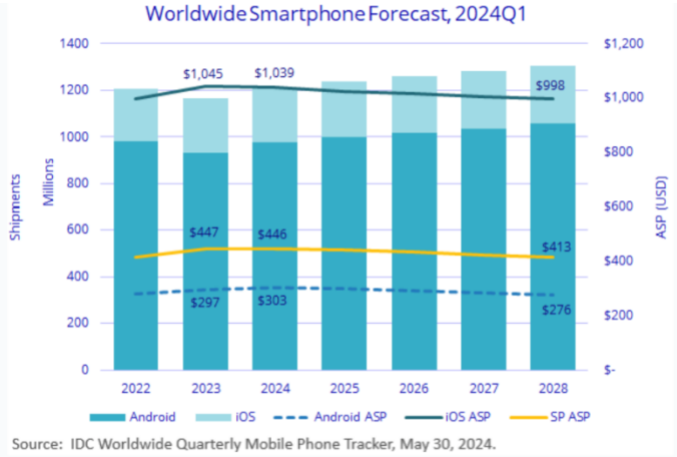
Qualcomm's revenues are geographically diversified but remain heavily concentrated in Asia, particu larly China, which is the company's largest and most critical market. In fiscal 2024, China contributed approximately 45% of Qualcomm's total revenues, while the United States accounted for 25%. Furthermore, approximately 66% of the company's goods were shipped to China compared to just 3% to the United States, underscoring the strategic importance of the Asian supply chain and demand base for Qualcomm. A significant portion of Qualcomm's chipset sales and licensing revenues are tied to Chinese smartphone manufacturers, reflecting both the size of the domestic Chinese handset market and the broader global production ecosystem anchored in the region. Beyond China and the US, Qualcomm also generates revenues from Europe and other parts of Asia (mainly South Korea), partnering with leading original equipment manufacturers (OEMs) such as Samsung, Dell, HP, Lenovo, and ASUS. Notably, Apple and Samsung each accounted for approximately 10% to 11% of Qualcomm's total revenues in fiscal 2024, highlighting the company's strong reliance on a small number of customers. Hence, Qualcomm has sought to diversify its customer base and geographic footprint further to mitigate risks and strengthen its global resilience as geopolitical tensions and regulatory scrutiny have increased in recent years.

The company's largest revenue driver remains its mobile handset business, contributing approximately 75% of QCT revenues and 64% of total revenues in fiscal 2024. Qualcomm's Snapdragon platforms continue to dominate the premium-tier Android ecosystem, reinforcing its leadership position. Recently, the company has expanded its revenue base with substantial growth in automotive, which represented approximately 9% of QCT revenues in fiscal 2024, achieving record performance as customers adopt Snapdragon Cockpit Elite and Snapdragon Ride Elite platforms for next-generation software-defined vehicles. The IoT segment has also emerged as a meaningful contributor, comprising approximately 16% of QCT revenues in fiscal 2024, fueled by rising demand for smart consumer devices, industrial automation solutions, and edge AI computing products. Meanwhile, Qualcomm's licensing segment (QTL) remains a highly profitable and stable revenue stream, delivering a 72% margin before income tax in fiscal 2024, supported by royalties from a broad global base of 3 G, 4G, and 5G device shipments. As adoption of on-device AI and next-generation 5G technologies accelerates across industries and regions, Qualcomm's balanced mix of product sales, platform adoption, and recurring licensing income positions the company for sustained long-term growth.

Key Players and Competition

Qualcomm's main competitors include Broadcom, HiSilicon (Huawei), MediaTek, Mobileye, NVIDIA, NXP Semiconductors, Qorvo, Samsung, Skyworks, Texas Instruments, and UNISOC. These companies primarily compete with Qualcomm's QCT segment by designing and supplying integrated circuits based on CDMA, OFDMA, Wi-Fi, or their derivatives. QCT also faces intensifying competition from internally developed products by major customers such as Apple and Samsung, which are increasingly investing in proprietary chipsets. In addition, Qualcomm competes with emerging and early-stage companies that are leveraging open-source architectures and alternative semiconductor models to enter the mobile, automotive, and IoT markets.





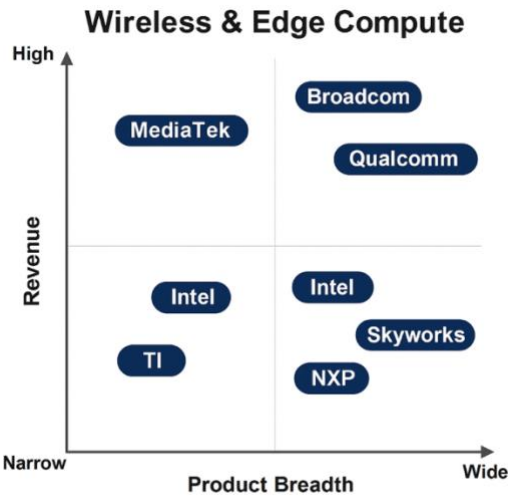
Broadcom Inc. is a significant competitor particularly in wireless connectivity solutions. In fiscal 2024, Broadcom generated approximately $30.1 billion in semiconductor revenues, with a major portion coming from wireless components such as RF front-end modules for smartphones. Apple is Broadcom's largest customer, accounting for roughly 20% of Broadcom's total revenue through supply agreements for RF chips and Wi-Fi modules. Although Broadcom does not compete with Qualcomm in application processors or modems, it poses strong competition in the RF and connectivity component space, particularly as smartphones transition to Wi-Fi 6/6E/7 standards. Broadcom's expansion into Wi-Fi 7 and its strategic partnership extension with Apple through 2026 further strengthen its competitive position.

HiSilicon, the semiconductor arm of Huawei Technologies, historically competed with Qualcomm through its Kirin series smartphone SoCs and Balong modems. Before U.S. sanctions in 2020, HiSilicon was one of the few companies capable of matching Qualcomm in high-end smartphone chipsets, with Huawei being both its primary customer and end-user. In 2019, HiSilicon revenues were estimated to exceed $7 billion, largely driven by internal Huawei demand. However, following U.S. trade restrictions, HiSilicon's ability to manufacture advanced chips at competitive nodes was severely curtailed. Recently, Huawei has begun a partial comeback with domestically produced chips such as the Kirin 9000S built in collaboration with SMIC. However, these chips currently lag behind Qualcomm's leading-edge Snapdragon processors in terms of efficiency and performance. HiSilicon remains a geopolitical competitor with strong backing in the Chinese domestic market.

MediaTek Inc. has emerged as Qualcomm's most direct competitor in smartphone SoCs, particularly in midrange and emerging market devices. MediaTek generated approximately $16.52 billion in revenues in 2024, with a y-o-y increase of 19%, with its Dimensity series 5G chips driving significant growth. MediaTek's major customers include Chinese OEMs such as Xiaomi, Oppo, and Vivo. MediaTek has historically dominated the low-to-mid tier Android market. Still, it is increasingly making inroads into the flagship segment with its Dimensity 9200 and 9300 series chipsets, competing head-to-head with Qualcomm's Snapdragon 8 series. Furthermore, MediaTek's partnership with NVIDIA to co-develop automotive SoCs threatens Qualcomm's momentum in the automotive computing market, a key growth vector.

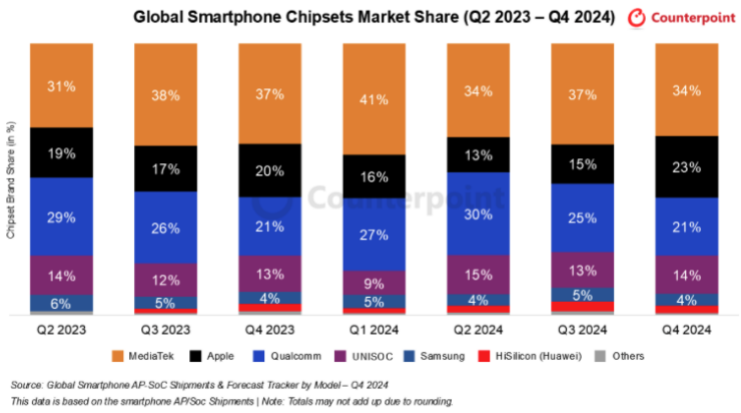
Beyond these major players, Qualcomm faces competition in specialized verticals:

- Mobileye (owned by Intel) leads in autonomous driving systems, challenging Qualcomm's Snapdragon Ride platform in ADAS technologies.
- NXP Semiconductors is strong in automotive microcontrollers and connectivity solutions.
- Qorvo and Skyworks compete primarily in RF components.
- Samsung not only remains a major customer but also competes through its Exynos mobile SoCs.
- Texas Instruments focuses on analog and embedded processing, overlapping with Qualcomm's IoT and industrial edge ambitions.
- UNISOC, backed by Chinese state-affiliated investors, focuses on entry-level smartphone and IoT chipsets, challenging Qualcomm in cost-sensitive markets.



Across all markets, mobile, automotive, IoT, and connectivity, Qualcomm's competitive advantage lies in its end-to-end platform integration (Snapdragon® SoC + RF Front End + AI Engine) and its expansive intellectual property portfolio. However, the intensifying investment by rivals in AI capabilities, automotive computing, and advanced wireless technologies (such as Wi-Fi 7 and 5 G-Advanced) ensures that the competitive environment will remain dynamic and challenging.

Market Share, Market Size, and Growth Trends



Qualcomm holds a dominant position in several key semiconductor markets, but faces evolving competitive dynamics as the industry grows and diversifies. In the global smartphone chipset market, Qualcomm remains the leader in the premium-tier Android segment. According to Counterpoint Research and IDC estimates, Qualcomm commanded approximately 26% of total smartphone application processor market share in 2023, with a particularly strong over 70% share in the premium Android ($500+ device) segment. MediaTek, its closest rival, led the overall market by volume due to dominance in the mid- and low-tier segments but has not yet displaced Qualcomm at the high end. Additionally, Demand for the Snapdragon 8 Elite is expected to remain strong, supported by design wins with multiple OEMs and the launch of the Samsung Galaxy S25 series exclusively with the Snapdragon 8 Elite chipset. Apple's vertical integration strategy (designing its own A-series and M-series chips) represents another structural shift, although Apple still relies heavily on Qualcomm for modem components.

In the RF front-end (RFFE) market, Qualcomm also remains one of the top players, competing closely with Broadcom, Qorvo, and Skyworks. Broadcom currently leads the RFFE segment in terms of total revenue, but Qualcomm's fully integrated modem-to-antenna solutions give it a unique strategic advantage, particularly as 5G adoption accelerates globally. The global RFFE market was valued at $23.3 billion in 2023 and is projected to grow at a CAGR of 11.7% through 2032.

The automotive semiconductor market, where Qualcomm's Snapdragon Digital Chassis platform competes, represents one of the company's fastest-growing opportunities. Qualcomm's automotive design-win pipeline exceeded $30 billion as of 2024, supported by partnerships with OEMs like Mercedes-Benz, BMW, and Li Auto. While Qualcomm's automotive revenue for fiscal 2024 were $2.9 billion, that represents 55% YoY growth for the segment, and the company now has a $45 billion-plus pipeline with its automotive customers.

In the Internet of Things (IoT) space, Qualcomm's diversified portfolio, covering consumer devices, industrial automation, networking, and smart cities, positions it for steady expansion. The company reported a 15% CAGR in IoT revenues over the past five years. The broader IoT semiconductor market is expected to grow at a CAGR of 8%–12% through 2030, driven by increasing demand for connected devices and edge computing solutions.

Qualcomm's diversified portfolio positions it well to capitalize on growth across various sectors. The global smartphone market saw a 6.4% increase in shipments in 2024, totaling 1.24 billion units. The automotive semiconductor market is projected to grow from $45 billion in 2023 to over $100 billion by 2030, fueled by advancements in electric vehicles and autonomous driving technologies. Qualcomm's strategic focus on integrating its technologies across mobile, automotive, and IoT platforms, combined with its robust intellectual property portfolio, positions the company to effectively leverage these market growth trends.

Moat Rating: Wide

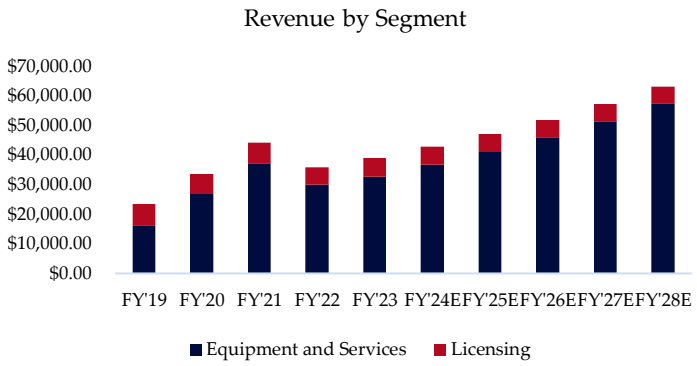
Qualcomm possesses a wide economic moat, underpinned by its extensive portfolio of over 140,000 patents and patent applications, particularly in wireless communication technologies. This robust intellectual property foundation enables Qualcomm to license its technologies across the mobile industry, generating substantial revenue through its licensing segment (QTL). The company charges royalty rates of 2.275% for single-mode 5G handsets and 3.25% for multi-mode (3G/4G/5G) handsets. In fiscal year 2024, Qualcomm invested

approximately $8.9 billion in research and development, reflecting its commitment to innovation and maintaining technological leadership.

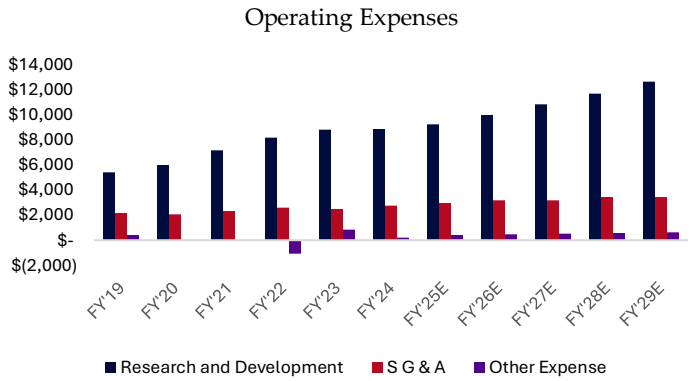
Beyond its core mobile handset and licensing business, Qualcomm is strategically expanding into the automotive and Internet of Things (IoT) sectors. The company's automotive design-win pipeline has surpassed $45 billion, with annual automotive revenue projected to exceed $4 billion by fiscal 2026. Qualcomm aims to triple its revenue to $14 billion in the IoT domain by fiscal 2029, capitalizing on the growing demand for connected devices. These diversification efforts are complemented by Qualcomm's strong financial position, with $13.3 billion in cash and marketable securities against $14.7 billion in total debt as of September 2024. While regulatory scrutiny and competition from companies developing in-house chips persist, Qualcomm's integrated platform solutions and robust patent portfolio position it well for sustained long-term growth.

Financial Analysis

Qualcomm has maintained strong and stable revenue performance over the past several years, driven by its leadership in wireless chipsets, licensing revenue streams, and expansion into adjacent markets such as automotive and IoT. Overall revenue growth has been relatively moderate but remains resilient given the size of its core markets. Qualcomm's revenues can be broadly divided into two categories: QCT segment revenues (semiconductor and systems sales) and QTL segment revenues (royalty licensing). QCT remains the larger contributor, accounting for approximately 85% of total revenues in FY'24 and growing at a CAGR of 21% from FY'20, while QTL contributed 14%. The remaining revenues include Qualcomm Strategic Initiatives (QSI) and other income streams.



Within QCT revenues, handset revenue is the major contributor, comprising 75% of QCT revenues, followed by IoT and Automotive segments, accounting for 16% and 9% respectively. Qualcomm's cost of goods sold (COGS) has consistently amounted to approximately 42% of revenues over the past decade. These costs primarily consist of wafer fabrication, assembly, and testing expenses associated with its fabless semiconductor model, as well as licensing-related costs for patent maintenance and legal expenses. We expect these costs to remain relatively constant as a percentage of sales, given Qualcomm's efforts to optimize supply chain operations and scale newer high-margin segments such as automotive and industrial IoT.



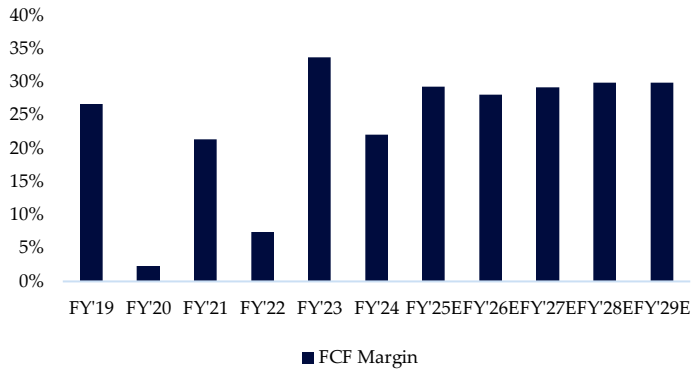
Qualcomm's Research and Development (R&D) expenses have been a significant proportion of revenues over the years, reflecting the company's commitment to innovation leadership. In FY'24, R&D expenditures amounted to 23% of total revenues, or approximately $8.9 billion. We anticipate Qualcomm maintaining R&D intensity around this level, with R&D expected to grow at a projected CAGR of 22% through FY'29, as the company continues to invest in 5G-Advanced, Wi-Fi 7, AI accelerators, automotive platforms, and early 6G initiatives.

Sales, Marketing, General and Administrative (SG&A) expenses have decreased relative to revenues. Over the course of FY'20–25, SG&A expenses grew at a CAGR of 6%. Going forward, SG&A is expected to grow at a CAGR of 5% while continuing to decline as a percentage of revenues, supported by operating leverage and cost efficiencies.

Qualcomm's focus on expanding into high-margin licensing and value-added semiconductor solutions has allowed it to maintain strong profitability. The company achieved a gross margin of 26% in FY'24, and profitability is expected to remain constant at 26% by FY'29, driven by a more favorable product mix (higher contribution from automotive and IoT) and operating leverage. Qualcomm's profitability

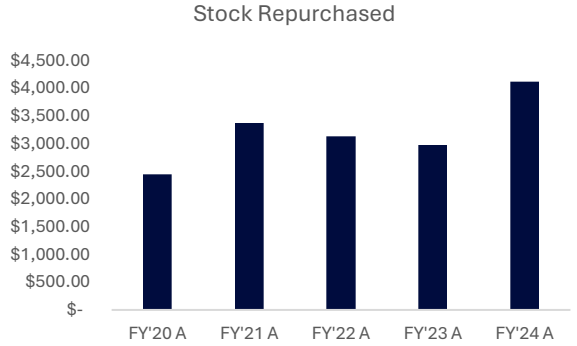
remains robust compared to broader semiconductor peers, largely due to its recurring licensing income and premium pricing in mobile SoCs.

With relatively low capital expenditure (CAPEX) requirements and minimal inventory risk as a fabless designer, Qualcomm maintains a healthy balance sheet and strong liquidity position. CAPEX historically has averaged around 4% of revenues, and we anticipate CAPEX remaining relatively consistent through FY'29, barring major investment into automotive production capacity or significant M&A. Qualcomm's operating cash flow margins have been high, averaging 27% in recent years.



In addition, Qualcomm has consistently maintained strong free cash flow (FCF) generation, on average converting approximately 21% of revenues into free cash flow between FY'20 and FY'24. Going forward, this robust free cash flow generation is expected to continue, enabling the company to fund R&D investments, shareholder distributions, and strategic acquisitions.

Days Sales Outstanding (DSO) has remained stable around 40 days, reflecting disciplined receivables management across OEM customers. Given that key receivables counterparties include large, financially sound firms such as Apple and Samsung, Qualcomm faces minimal credit risk.



Qualcomm also maintains a shareholder-friendly capital return policy. The company pays a quarterly dividend of $0.80 per share as of FY'24, translating to a dividend yield of approximately 2.4%, with a payout ratio of 36%. Dividend payments are well-supported by Qualcomm's strong free cash flow profile, and management remains committed to maintaining and growing dividends over time.

Furthermore, Qualcomm actively engages in share repurchases to return excess capital to shareholders. Between FY'20 and FY'24, the company repurchased approximately $16 billion of its outstanding shares, supporting earnings per share (EPS) growth and enhancing shareholder value. Qualcomm's combination of steady dividends and disciplined buybacks highlights its strong capital allocation strategy.

Investment Summary and Forecasts:

I assign a Buy rating on Qualcomm (NASDAQ: QCOM), supported by the company's leadership in wireless communications, its strategic diversification beyond smartphones into automotive and IoT markets, its robust free cash flow generation, and its disciplined capital return policy. Qualcomm's expanding footprint in high-growth verticals positions the company to reduce dependence on the cyclical handset market while capturing secular trends in connected mobility, edge computing, and AI integration.

Looking ahead, in my base case, I have forecasted year-over-year revenue growth of approximately 10% for the Equipment and Services segment, a conservative estimate relative to Qualcomm's historical QCT revenue growth (~11% CAGR FY'19–FY'24) and management's guidance on diversification-driven growth. Similarly, I forecast a year-over-year revenue decline of approximately 4% for the Licensing segment (QTL), reflecting historical softness observed when handset shipment volumes decline, partially offset by Qualcomm's durable intellectual property portfolio across 3G, 4G, and 5G technologies. These assumptions translate to an overall revenue CAGR of approximately 8% for FY'25–FY'29.

Qualcomm's diversification efforts are supported by a 28% CAGR in Automotive revenues projected through fiscal 2026, underpinned by its Snapdragon Ride and Digital Chassis platforms

Bull

DCF Equity Sensitivity Analysis			
	WACC		
Growth	8.0%	9.1%	12.0%
3.0%	$237.4	192.75	126.13
3.6%	267.59	211.84	133.69
4.0%	289.46	225.08	138.62

Base

DCF Equity Sensitivity Analysis			
	WACC		
Growth	8.0%	9.1%	12.0%
3.0%	194.79	158.23	103.65
3.6%	219.47	173.84	109.84
4.0%	237.36	184.68	113.88

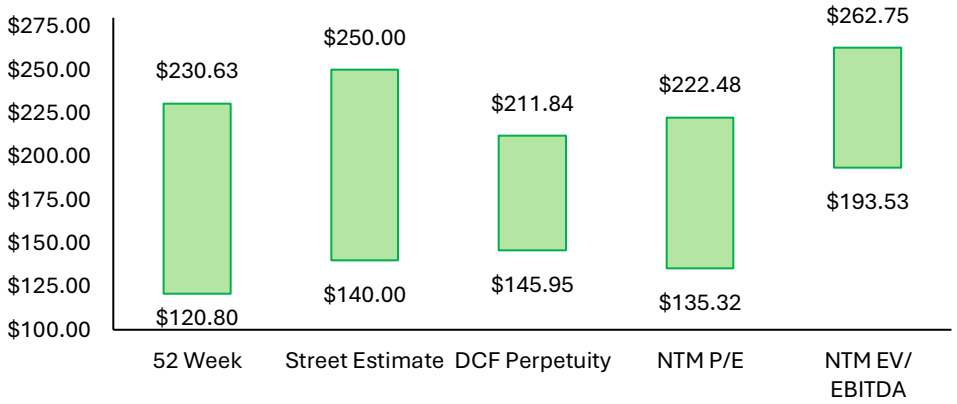
Bear

DCF Equity Sensitivity Analysis			
	WACC		
Growth	8.0%	9.1%	12.0%
3.0%	$163.6	132.83	86.94
3.6%	184.30	145.95	92.14
4.0%	199.32	155.05	95.53

winning increased design wins across leading global OEMs. In the IoT segment, management anticipates a 9% CAGR, driven by edge AI adoption, smart industrial applications, and expanded connectivity solutions.

I project dividends to grow at 6% annually, consistent with Qualcomm's historical capital return priorities. R&D expenses are projected to grow at a 22% CAGR, supporting continued leadership in wireless standards, AI accelerators, automotive systems, and Wi-Fi 7 technologies. SG&A expenses are forecasted to grow at a 6% CAGR, maintaining operating leverage as revenues expand. Capital expenditures (CAPEX) are projected to remain stable at approximately 4% of revenues, consistent with Qualcomm's asset-light fabless model.

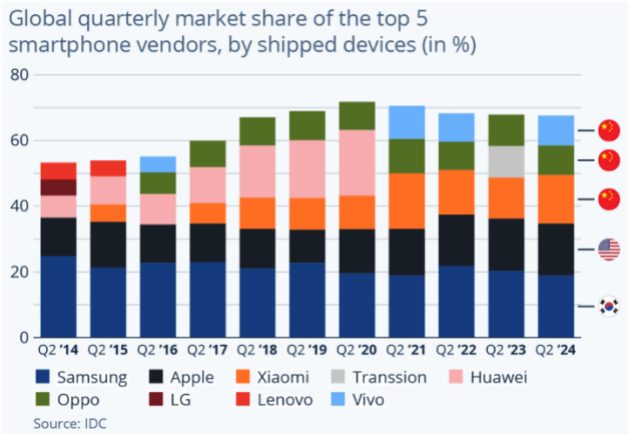
Valuation:



I issue a 12-month price target of $194.58 based on a blended valuation approach, incorporating a 5-year Discounted Cash Flow (DCF) analysis, Forward NTM EV/EBITDA multiples, and Forward NTM P/E multiples. My DCF model derives a standalone valuation of $155.13 per share, assuming a terminal growth rate of 3.63% based on the weighted average nominal GDP growth forecasts from the Blue-Chip Economic Indicators (January 2025), adjusted for Qualcomm's revenue exposure to China (4.5%), the U.S. (2.3%), and the Rest of World (5%) and derived WACC of 9.1%. For the EV/EBITDA valuation approach, I applied forward-looking sector multiples to Qualcomm's projected FY'25 EBITDA, assigning 25th percentile multiples in the bearish case, 50th percentile multiples in the base case, and 75th percentile multiples in the bullish case. This method captures Qualcomm's ability to drive operating leverage, particularly as automotive and IoT become larger contributors to QCT segment earnings. Similarly, for the P/E-based relative valuation, I applied implied sector multiples to Qualcomm's projected FY'25 adjusted earnings, again using 25th, 50th, and 75th percentile sector multiples across scenarios. This P/E approach complements my EV/EBITDA valuation by reflecting Qualcomm's capital-light, high-margin profile and consistent shareholder returns through dividends and share buybacks. I incorporated a 40% probability of recession in 2025 across all valuation models, with a 30% probability assigned to both stronger-than-expected economic expansion and to a continuation of current macroeconomic conditions, in line with forecasts from the Blue-Chip Economic Indicators (April 2025). My final blended price target of $194.58 assigns equal weightings across all three valuation methods — DCF, EV/EBITDA, and P/E — reflecting a balanced approach that captures both Qualcomm's intrinsic cash flow generation and its relative positioning within the semiconductor sector. Given Qualcomm's leadership in wireless connectivity, its strategic expansion into automotive and edge AI markets, and its strong balance sheet, I believe the company is well-positioned to deliver attractive total returns over the next twelve months.

	Implied Price	Valuation Weight	Absolute Price
DCF Valuation	$ 174.08	33%	$ 58.03
P/E Multiple Valuation	$ 202.23	33%	$ 67.41
EV/EBITDA Multiple Valuation	$ 226.39	33%	$ 75.46
		2025 Stock Price Target	**$ 200.90**

Investment Risks:



While I assign a Buy rating on Qualcomm, several risks could impact the company's ability to achieve my target price. Qualcomm is actively diversifying beyond smartphones into automotive and IoT markets; however, these segments are still emerging relative to QCT's handset business and face intense competition from players such as NVIDIA, MediaTek, NXP, and Intel. If growth in these verticals falls short of management's expectations, Qualcomm's reliance on the slower-growth smartphone market could persist longer than projected, impacting revenue diversification efforts.

Within the mobile handset business, Qualcomm faces ongoing competitive pressures, including customers like Samsung and Google developing their own processors, as well as MediaTek gaining share in mid- and lower-tier markets. Although Qualcomm remains dominant in the premium Android space, ASP (average selling price) compression and shifting OEM strategies could pressure margins over time. Furthermore, the expected phase-out of Qualcomm's modem supply in future Apple iPhone generations (starting FY'27) poses a material risk to QCT revenues, despite the recent contract extensions.

Geopolitical risks are another critical factor. China remains Qualcomm's largest single market, accounting for approximately 45% of FY'24 revenues and 66% of physical shipments. U.S.-China trade tensions, export restrictions on advanced semiconductor technologies, or retaliatory regulatory actions could significantly disrupt Qualcomm's business operations, supply chains, or customer demand in the region.

On the regulatory front, Qualcomm's licensing segment (QTL) remains exposed to potential antitrust challenges in major jurisdictions, including the U.S., EU, and China. While Qualcomm has successfully defended its licensing model in past litigation — notably the 2020 FTC victory — any renewed regulatory action could pressure royalty rates, alter licensing terms, or create adverse precedents affecting the company's high-margin QTL business.

Technology disruption is another underlying risk. The transition toward open radio access networks (Open RAN), edge computing architectures, and alternative wireless standards (e.g., satellite-based mobile connectivity) could gradually erode Qualcomm's control over traditional cellular infrastructure and modem content if not proactively addressed.

Finally, macroeconomic headwinds remain a broader risk. A deeper or more prolonged global recession than forecasted could delay smartphone replacement cycles, slow automotive production, and curtail enterprise IoT spending — all of which would negatively impact Qualcomm's revenue growth assumptions embedded in my base and bull cases.

Overall, Qualcomm's continued success depends on its ability to defend its licensing model, retain handset leadership, achieve meaningful diversification into high-growth verticals, and navigate regulatory and geopolitical risks in an increasingly complex global environment.

Summary:

In my opinion, Qualcomm represents an attractive opportunity for investors seeking a combination of growth, income, and exposure to emerging technologies at a reasonable valuation. Based on my blended valuation analysis — incorporating DCF, EV/EBITDA, and P/E models with equal weightings — I derive a 12-month target price of $200.9, implying meaningful upside from current levels. Qualcomm's automotive and IoT segments are poised for strong growth, with management projecting 28% CAGR in automotive and 9% CAGR in IoT revenues through fiscal 2026. These secular growth drivers provide a clear pathway for diversification beyond smartphones, enhancing long-term resilience.

Furthermore, Qualcomm's financial strength, highlighted by $13.3 billion in cash reserves, a ~6% dividend yield, and robust 25% free cash flow margins, offers downside protection even amid near-term macroeconomic volatility. The company's forward multiples remain attractive relative to historical norms and sector averages, suggesting valuation expansion potential should operational execution continue.

While competitive pressures, legal uncertainties, and geopolitical risks remain real, I believe the risks are asymmetric. The downside is limited by Qualcomm's entrenched leadership in wireless IP and connectivity solutions, while the upside could be substantial if diversification efforts into automotive, IoT, and edge AI ecosystems materialize faster than currently forecasted. Investors willing to accept short-term volatility in exchange for exposure to a strong secular growth story at a discounted valuation stand to achieve attractive double-digit total returns over the next few years.

Based on my analysis of Qualcomm's valuation, financial strength, diversification initiatives, and durable competitive advantages, I believe the stock offers investors an attractive margin of safety and substantial long-term return potential.
As Benjamin Graham wisely stated, "The function of the margin of safety is, in essence, that of rendering unnecessary an accurate estimate of the future."

INDEX- APPENDICES

APPENDIX #	DETAIL	PAGE
Appendix 1	Porter's Five Forces	11
Appendix 2	SWOT Analysis	12
Appendix 3	Qualcomm Competitive Positioning	13
Appendix 4	Final Valuation Summary	14
Appendix 5	Terminal Growth g	15
Appendix 6	Valuation Model	16
Appendix 7	COMPARATIVE COMPETITOR METRICS	23

APPENDIX 1 : Porter's Five Forces

1. Threat of New Entrants: Low
   The threat of new entrants into Qualcomm's core markets — mobile chipsets, automotive platforms, IoT semiconductors — is low. The semiconductor industry requires extremely high capital investment in R&D, long product development cycles, access to advanced foundries (like TSMC), and strong intellectual property (IP) portfolios. Qualcomm, with over 140,000 patents and patent applications worldwide, has built significant barriers to entry through its IP licensing model (QTL) and technology leadership (QCT). New players would also struggle to match Qualcomm's extensive ecosystem relationships with OEMs, operators, and software partners. Although emerging players using open-source architectures (e.g., RISC-V) could pose limited competition at the low-end, they are unlikely to threaten Qualcomm's premium and integrated platform business in the near term.

2. Bargaining Power of Suppliers: Moderate to High
   Suppliers hold moderate to high bargaining power over Qualcomm, particularly semiconductor foundries like TSMC, Samsung Foundry, and GlobalFoundries. Qualcomm is a "fabless" company, meaning it designs but does not manufacture its own chips, relying heavily on third-party fabs to produce its products. Advanced manufacturing nodes (e.g., 4nm, 3nm processes) are limited to a few suppliers globally, which gives those suppliers leverage, especially during periods of supply constraint. Additionally, suppliers of specialized materials (substrates, RF filters, power amplifiers) have some pricing power. Qualcomm mitigates this risk through multi-sourcing strategies, long-term supply agreements, and supply chain diversification initiatives, but supplier dependency remains a structural risk.

3. Bargaining Power of Customers (OEMs): High
   The bargaining power of Qualcomm's customers is high. Qualcomm's largest customers — including Apple, Samsung, Xiaomi, Oppo, and Vivo — represent significant revenue concentrations. In fiscal 2024, for instance, Apple and Samsung individually accounted for roughly 10–11% of Qualcomm's total revenues each. Large OEMs exert bargaining power by negotiating volume discounts, demanding customization, and, increasingly, developing in-house components (e.g., Apple's modem efforts, Samsung's Exynos division). Qualcomm counters this dynamic by offering end-to-end platform solutions (Snapdragon SoC + modem + RF front-end + AI engine), which increase switching costs for OEMs and strengthen stickiness across product generations.

4. Threat of Substitutes: Moderate
   - The threat of substitutes is moderate in Qualcomm's markets.
   - In mobile devices, internal development of SoCs and modems by OEMs (Apple's A-series, Samsung's Exynos, Google's Tensor chip) represent potential substitutes for Qualcomm's Snapdragon solutions.
   - In wireless connectivity, alternative technologies like Wi-Fi 6E/7 versus 5G for certain use cases could shift demand patterns.
   - In automotive and IoT, companies like NVIDIA, MediaTek, and NXP offer alternative solutions in specific segments (e.g., infotainment, ADAS).
     However, Qualcomm's deep integration of communications, compute, and AI into a single platform — and its decades-long expertise in mobile technologies — make direct substitution complex and costly for customers.

5. Industry Rivalry: High
   Industry rivalry is high in the semiconductor sector.
   Qualcomm competes fiercely against a range of players across different markets:
   - MediaTek dominates the midrange smartphone market.
   - Broadcom leads in RF components and Wi-Fi chips.
   - Apple and Samsung increasingly insource key semiconductor functions.
   - NVIDIA is aggressively exp into automotive and AI computing platforms.
   - HiSilicon (Huawei) and UNISOC are focusing on China's domestic market despite export restrictions. Intense R&D investment cycles, pricing pressure in mid-tier markets, and rapid technological shifts (e.g., AI-on-device, 5G-Advanced, Wi-Fi 7) all exacerbate competition. Qualcomm's premium brand positioning, platform strategy, and leadership in wireless standards (e.g., 5G, 6G development) are critical in maintaining competitive differentiation.

APPENDIX 2 : SWOT Analysis

Strengths

- Qualcomm is a pioneer in 3G, 4G, and 5G technologies and owns one of the largest patent portfolios in mobile telecommunications (crucial for licensing revenue).
- The company earns high-margin revenue from licensing its intellectual property to almost every major smartphone OEM, including Apple, Samsung, and Chinese manufacturers.
- Revenue comes from both chip sales (QCT: Qualcomm CDMA Technologies) and licensing (QTL: Qualcomm Technology Licensing), with growth in automotive, IoT, and RF front-end.
- Strong cash flows have allowed consistent share repurchases ($4.1B in FY24) and dividends, maintaining shareholder confidence.
- Collaborations with leading smartphone makers and automotive players (e.g., BMW, GM) support expansion into non-handset markets.

Weaknesses

- While diversifying, a significant portion of revenue still comes from mobile handsets, a maturing and cyclical industry.
- Substantial revenue (~60%+) is tied to Chinese OEMs like Xiaomi, Oppo, and Vivo. U.S.–China tensions and regulatory issues pose risks.
- Qualcomm has faced antitrust challenges globally (e.g., Apple lawsuits, FTC investigation), impacting reputation and earnings visibility.
- Apple and Samsung are developing their own chips, reducing long-term dependency on Qualcomm's Snapdragon SoCs.

Opportunities

- Continued global 5G deployment (handsets, base stations, industrial use cases) will drive modem, RFFE, and IP licensing revenue.
- Increasing semiconductor content per vehicle and connected devices offer growth in emerging verticals. Snapdragon Ride and Digital Chassis have strong design wins.
- Integration of AI capabilities in edge devices (phones, wearables, industrial IoT) leverages Qualcomm's low-power compute advantage.
- Qualcomm's XR chips power Meta Quest and other headsets, positioning it well for future mixed-reality adoption.

Threats

- Faces fierce competition from MediaTek (in midrange), Apple (custom silicon), and emerging players like Unisoc in China.
- Semiconductor shortages and geopolitical disruptions (e.g., Taiwan-China conflict risk) could impair production and delivery.
- Price competition in mobile chips and pressure from OEMs may compress margins, especially in low-end and mid-range markets.
- Increasing global scrutiny over its licensing practices could result in fines, reduced royalty rates, or changes to its business model.

APPENDIX 3 : Qualcomm Competitive Positioning

					LTM Financial Metrics					
Competitor	Ticker	Mkt Cap	Debt	Enterprise Value (EV)	Revenue	EBITDA	EBIT	EBIT Margin	Gross Margin	EBITDAMargin
Intel Corporation	INTL	$ 87,458.10	$ 28,562.00	$ 122,677.10	$ 53,044.00	$ 8,115.00	$ (3,363.00)	-6%	33%	15%
Marvell Technology, Inc.	MRVL	$ 51,030.60	$ 3,394.80	$ 54,425.40	$ 5,767.30	$ 1,348.40	$ (8.50)	0%	48%	23%
Silicon Laboratories Inc.	SLAB	$ 3,336.90	$ (360.70)	$ 2,976.20	$ 584.40	$ (116.90)	$ (165.50)	-28%	53%	-20%
Advanced Micro Devices, Inc.	AMD	$ 156,207.10	$ (2,811.00)	$ 153,396.10	$ 25,785.00	$ 5,150.00	$ 2,086.00	8%	53%	20%
Analog Devices, Inc.	ADI	$ 96,512.10	$ 4,897.50	$ 101,409.60	$ 9,337.60	$ 4,111.20	$ 2,016.50	22%	57%	44%
Broadcom Inc	AVGO	$ 904,231.80	$ 57,272.00	$ 961,503.80	$ 54,529.00	$ 28,841.00	$ 19,155.00	35%	76%	53%
Microchip Technology Incorporated	MCHP	$ 25,218.30	$ 6,198.00	$ 31,416.30	$ 4,756.90	$ 1,422.10	$ 640.80	14%	58%	30%
NVIDIA Corporation	NVDA	$ 2,708,644.00	$ (32,940.00)	$ 2,675,704.00	$ 130,497.00	$ 83,317.00	$ 81,453.00	62%	75%	64%
Texas Instruments Incorporated	TXN	$ 147,953.80	$ 7,843.00	$ 155,796.80	$ 16,049.00	$ 7,100.00	$ 5,514.00	34%	58%	44%
Qorvo, Inc.	QRVO	$ 5,956.80	$ 779.80	$ 6,736.60	$ 3,790.50	$ 587.00	$ 279.10	7%	41%	16%
MediaTek Inc.	TWSE:2454	$ 67,520.20	$ (6,425.40)	$ 61,353.50	$ 16,287.60	$ 3,741.40	$ 3,143.80	19%	50%	23%
NXP Semiconductors N.V.	NXPI	$ 49,088.20	$ 7,852.00	$ 57,288.20	$ 12,614.00	$ 4,421.00	$ 3,526.00	28%	57%	35%
Micron Technology, Inc.	MU	$ 89,159.90	$ 5,433.00	$ 94,592.90	$ 31,323.00	$ 14,104.00	$ 6,130.00	20%	35%	45%
Qualcomm	QCOM	$ 163,181.00	$ 272.00	$ 163,453.00	$ 40,696.00	$ 12,585.00	$ 10,880.00	56%	31%	27%

APPENDIX 4 : FINAL VALUATION SUMMARY

	Implied Price	Valuation Weight	Absolute Price
DCF Valuation	$ 174.08	33%	$ 58.03
P/E Multiple Valuation	$ 202.23	33%	$ 67.41
EV/EBITDA Multiple Valuation	$ 226.39	33%	$ 75.46
		2025 Stock Price Target	**$ 200.90**

	2025 Probability	2025 DCF Value Per Share	Weighted Average Price
Bull	30.0%	$211.84	$63.55
Base	30.0%	$173.84	$52.15
Bear	40.0%	$145.95	$58.38
		DCF Stock Value (implied)	**$174.08**

P/E	Absolute P/E Multiple
25.1x	*7.5x*
22.1x	*6.6x*
19.1x	*7.7x*
P/E (implied)	***21.8x***
Qualcomm's Current Multiple	*16.0x*
Stock Price 4.26.25	$ 148.56
Undervalued	36.13%
EV/EBITDA Stock Value (implied)	**$ 202.23**

EV/EBITDA	Absolute EV/EBITDA Multiple
20.6x	*6.2x*
19.6x	*5.9x*
18.6x	*7.4x*
EV/EBITDA (implied)	***19.5x***
Qualcomm's Current Multiple	*12.8x*
Stock Price 4.26.25	$ 148.56
Undervalued	52.39%
EV/EBITDA Stock Value (implied)	**$ 226.39**

Bull				
Summary DCF Valuation				
DCF Enterprise Value	$243,195.6	*11.7x*		
Less: Net Debt	(6,785.0)			
Equity Value	$236,410.6			
Shares	1,116.000			
DCF Value per Share	$211.84		*23.9x*	Forward

Base				
Summary DCF Valuation				
DCF Enterprise Value	$200,791.8	*9.6x*		
Less: Net Debt	(6,785.0)			
Equity Value	$194,006.8			
Shares	1,116.000			
DCF Value per Share	$173.84		*21.9x*	Forward

Bear				
Summary DCF Valuation				
DCF Enterprise Value	$169,663.2	*8.1x*		
Less: Net Debt	(6,785.0)			
Equity Value	$162,878.2			
Shares	1,116.000			
DCF Value per Share	$145.95		*20.6x*	Forward

APPENDIX 5 : TERMINAL GROWTH g

Terminal Growth			
	Revenue %	Expected G.D.P Growth	
US G.D.P growth rate	46%	2.30%	1.058%
China G.D.P Growth Rate	25%	4.50%	1.125%
Rest of the world	29%	5.00%	1.450%
		Terminal Growth	3.633%

APPENDIX 6 : VALUATION MODEL

OPERATING ASSUMPTIONS

	Historical						Projected				
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue	$24,273.0	$23,531.0	$33,566.0	$44,200.0	$35,820.0	$38,962.0	$42,835.2	$47,181.2	$51,923.6	$57,235.3	$63,153.6
Growth		*(3.1%)*	*42.6%*	*31.7%*	*(19.0%)*	*8.8%*	*9.9%*	*10.1%*	*10.1%*	*10.2%*	*10.3%*
Cost of Revenues											
COGS (Incl. Depn.)	$8,599.0	$9,255.0	$14,262.0	$18,635.0	$15,869.0	$17,060.0	17,990.8	19,816.1	21,496.4	23,523.7	25,766.7
% Sales	*35.4%*	*39.3%*	*42.5%*	*42.2%*	*44.3%*	*43.8%*	*42.0%*	*42.0%*	*41.4%*	*41.1%*	*40.8%*
Gross Profit	15,674.0	14,276.0	19,304.0	25,565.0	19,951.0	21,902.0	24,844.4	27,365.1	30,427.3	33,711.6	37,386.9
% Sales	*64.6%*	*60.7%*	*57.5%*	*57.8%*	*55.7%*	*56.2%*	*58.0%*	*58.0%*	*58.6%*	*58.9%*	*59.2%*
R&D Expense:											
R&D Expense (In. Amt.)	5,398.0	5,975.0	7,176.0	8,194.0	8,818.0	8,893.0	8,995.4	9,908.1	10,904.0	12,019.4	13,262.3
% Sales	*22.2%*	*25.4%*	*21.4%*	*18.5%*	*24.6%*	*22.8%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*
SG&A Expense:											
SG&A Expense (In. Amt.)	2,195.0	2,074.0	2,339.0	2,570.0	2,483.0	2,759.0	2,784.3	2,830.9	2,855.8	2,861.8	2,841.9
% Sales	*9.0%*	*8.8%*	*7.0%*	*5.8%*	*6.9%*	*7.1%*	*6.5%*	*6.0%*	*5.5%*	*5.0%*	*4.5%*
Other Operating Expense:											
Other Operating Expense (In. Amt.)	414.0	(28.0)	0.0	(1,059.0)	862.0	179.0	428.4	471.8	519.2	572.4	631.5
% Sales	*1.7%*	*(0.1%)*	*0.0%*	*(2.4%)*	*2.4%*	*0.5%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*
Total Operating Expense	2,195.0	2,074.0	2,339.0	2,570.0	2,483.0	2,759.0	2,784.3	2,830.9	2,855.8	2,861.8	2,841.9
% Sales	*9.0%*	*8.8%*	*7.0%*	*5.8%*	*6.9%*	*7.1%*	*6.5%*	*6.0%*	*5.5%*	*5.0%*	*4.5%*
Depn and Amt Expense	1,401.0	1,393.0	1,582.0	1,762.0	1,809.0	1,706.0	1,927.6	2,005.2	2,076.9	2,289.4	2,075.6
% Sales	*5.8%*	*5.9%*	*4.7%*	*4.0%*	*5.1%*	*4.4%*	*4.5%*	*4.3%*	*4.0%*	*4.0%*	*3.3%*
EBITDA	14,880.0	13,595.0	18,547.0	24,757.0	19,277.0	20,849.0	23,987.7	26,539.4	29,648.4	33,139.2	36,620.6
Margin	*61.3%*	*57.8%*	*55.3%*	*56.0%*	*53.8%*	*53.5%*	*56.0%*	*56.3%*	*57.1%*	*57.9%*	*58.0%*
Growth		*(8.6%)*	*36.4%*	*33.5%*	*(22.1%)*	*8.2%*	*15.1%*	*10.6%*	*11.7%*	*11.8%*	*10.5%*
Operating Profit (EBIT)	13,479.0	12,202.0	16,965.0	22,995.0	17,468.0	19,143.0	22,060.1	24,534.2	27,571.5	30,849.8	34,545.0
Margin				*52.0%*	*48.8%*	*49.1%*	*51.5%*	*52.0%*	*53.1%*	*53.9%*	*54.7%*
Total Capital Expenditures	887.0	1,407.0	1,888.0	2,262.0	1,450.0	1,041.0	1,713.4	1,887.2	1,817.3	2,003.2	2,210.4
% of Sales	*3.7%*	*6.0%*	*5.6%*	*5.1%*	*4.0%*	*2.7%*	*4.0%*	*4.0%*	*3.5%*	*3.5%*	*3.5%*

APPENDIX 6 : VALUATION MODEL (Cont..)

WORKING CAPITAL ASSUMPTIONS

	Historical		Projected				
	2023	2024	2025	2026	2027	2028	2029
Revenues	$35,820.0	$38,962.0	$42,835.2	$47,181.2	$51,923.6	$57,235.3	$63,153.6
Total COGS	15,869.00	17,060.00	17,990.79	19,816.12	21,496.39	23,523.71	25,766.66
Current Assets							
Cash and cash equivalents	8,450.00	7,849.00	13,563.35	21,113.54	28,335.37	38,249.74	50,603.90
Marketable securities	2,874.00	5,451.00	5,716.74	5,953.90	6,205.30	6,471.78	6,754.24
Accounts receivable, net	3,183.00	3,929.00	4,711.87	5,189.94	5,711.60	6,295.88	6,946.89
Inventories	6,422.00	6,423.00	5,936.96	6,539.32	7,093.81	7,762.82	8,503.00
Held for sale assets	341.00	-	-	-	-	-	-
Other current assets	1,194.00	1,579.00	1,584.90	1,745.71	1,921.17	2,117.71	2,336.68
Current Assets	22,464.00	25,231.00	31,513.82	40,542.40	49,267.25	60,897.93	75,144.71
Current Liabilities							
Trade accounts payable	1,912.00	2,584.00	2,878.53	3,170.58	3,439.42	3,763.79	4,122.67
Payroll and other benefits related liabilities	1,685.00	1,834.00	1,799.08	1,981.61	2,149.64	2,352.37	2,576.67
Unearned revenues	293.00	297.00	-	-	-	-	-
Short-term debt	914.00	1,364.00	-	-	-	-	-
Held for sale liabilities	333.00	-	-	-	-	-	-
Other current liabilities	4,491.00	4,425.00	4,711.87	5,189.94	5,711.60	6,295.88	6,946.89
Current Liabilities	9,628.00	10,504.00	9,389.48	10,342.13	11,300.66	12,412.05	13,646.23
Net Cash Impact							
Net Operating Working Capital	*2426.0*	*3088.0*	*2844.3*	*3132.8*	*3425.9*	*3764.4*	*4140.3*
Cash (Used by) / Generated from Work. Cap.		*-662.0*	*243.7*	*-288.6*	*-293.1*	*-338.4*	*-376.0*
Ratios							
Cash % of COGS	*53.2%*	*46.0%*	*75.4%*	*106.5%*	*131.8%*	*162.6%*	*196.4%*
Inventory % of Sales	*17.9%*	*16.5%*	*13.9%*	*13.9%*	*13.7%*	*13.6%*	*13.5%*
Inventory Turns	*5.6x*	*6.1x*	*7.2x*	*7.2x*	*7.3x*	*7.4x*	*7.4x*
Accounts Payable % of COGS	*12.0%*	*15.1%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*
Days Payable Outstanding	*44.0 d*	*55.3 d*	*58.4 d*	*58.4 d*	*58.4 d*	*58.4 d*	*58.4 d*

APPENDIX 6 : VALUATION MODEL (Cont..)

INCOME STATEMENTS

		Projected					
		2024	2025	2026	2027	2028	2029
Revenue		38,962.0	42,835.2	47,181.2	51,923.6	57,235.3	63,153.6
Less: Total COGS		(17,060.0)	(17,990.8)	(19,816.1)	(21,496.4)	(23,523.7)	(25,766.7)
Gross Profit		21,902.0	24,844.4	27,365.1	30,427.3	33,711.6	37,386.9
Less: Total R&D		(8,893.0)	(8,995.4)	(9,908.1)	(10,904.0)	(12,019.4)	(13,262.3)
Less: SG & A and Other		(2,938.0)	(3,212.6)	(3,302.7)	(3,375.0)	(3,434.1)	(3,473.4)
EBIT		10,071.0	12,636.4	14,154.4	16,148.3	18,258.1	20,651.2
Interest & Other Expense / (Income):							
Revolver		0.0	0.0	0.0	0.0	0.0	0.0
Term Loan		0.0	0.0	0.0	0.0	0.0	0.0
Sr. Sub. Notes		697.0	585.4	530.8	530.8	450.8	410.8
Total Interest Expense		697.0	585.4	530.8	530.8	450.8	410.8
Investment and other expense (income), net		(962.0)	(465.5)	231.4	324.8	414.5	536.7
Pretax Income		10,336.0	12,516.5	13,392.2	15,292.6	17,392.8	19,703.8
Less: Income Taxes	*21.00%*	(2,170.6)	(2,628.5)	(2,812.4)	(3,211.5)	(3,652.5)	(4,137.8)
Net Income		8,165.4	9,888.1	10,579.8	12,081.2	13,740.3	15,566.0
Shares Outstanding		1,116.000	1,116.000	1,116.000	1,116.000	1,116.000	1,116.000
Earnings per Share (EPS)		$7.3	$8.9	$9.5	$10.8	$12.3	$13.9
EBITDA Reconciliation:							
EBIT		10,071.0	12,636.4	14,154.4	16,148.3	18,258.1	20,651.2
Plus: Depreciation		1,706.0	1,927.6	2,005.2	2,076.9	2,289.4	2,075.6
EBITDA		11,777.0	14,564.0	16,159.6	18,225.2	20,547.5	22,726.8

BALANCE SHEETS

		Projected					
	12/31/23	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29
ASSETS:							
Cash	8,450.00	7,849.00	13,563.35	21,113.54	28,335.37	38,249.74	50,603.90
Total Cash	8,450.0	7,849.0	13,563.3	21,113.5	28,335.4	38,249.7	50,603.9
Marketable securities	2,874.0	5,451.0	5,716.7	5,953.9	6,205.3	6,471.8	6,754.2
Accounts receivable, net	3,183.0	3,929.0	4,711.9	5,189.9	5,711.6	6,295.9	6,946.9
Inventories	6,422.0	6,423.0	5,937.0	6,539.3	7,093.8	7,762.8	8,503.0
Held for sale assets	341.0	0.0	0.0	0.0	0.0	0.0	0.0
Other current assets	1,194.0	1,579.0	1,584.9	1,745.7	1,921.2	2,117.7	2,336.7
Current Assets	22,464.0	25,231.0	31,513.8	40,542.4	49,267.3	60,897.9	75,144.7
Deferred tax assets	3,310.00	5,162.00	5,162.00	5,162.00	5,162.00	5,162.00	5,162.00
Property, plant and equipment, net	5,042.00	4,665.00	4,772.09	5,007.99	5,007.99	5,007.99	5,165.88
Goodwill	10,642.00	10,799.00	10,799.00	10,799.00	10,799.00	10,799.00	10,799.00
Other intangible assets, net	1,408.00	1,244.00	922.74	568.88	309.26	23.08	-
Held for sale assets	88.00	-	-	-	-	-	-
Other assets	8,086.00	8,053.00	8,053.00	8,053.00	8,053.00	8,053.00	8,053.00
Total Assets	$51,040.0	$55,154.0	$61,222.6	$70,133.3	$78,598.5	$89,943.0	$104,324.6
LIABILITIES & EQUITY:							
Trade accounts payable	1,912.00	2,584.00	2,878.53	3,170.58	3,439.42	3,763.79	4,122.67
Payroll and other benefits related liabilities	1,685.00	1,834.00	1,799.08	1,981.61	2,149.64	2,352.37	2,576.67
Unearned revenues	293.00	297.00	-	-	-	-	-
Held for sale liabilities	333.00	-	-	-	-	-	-
Other current liabilities	4,491.00	4,425.00	4,711.87	5,189.94	5,711.60	6,295.88	6,946.89
Current Liabilities	8,714.0	9,140.0	9,389.5	10,342.1	11,300.7	12,412.0	13,646.2
Revolver	914.00	1,364.00	-	-	-	-	-
Term Loan	-	-	-	-	-	-	-
Sr. Sub. Notes	14,484.00	13,270.00	13,270.00	13,270.00	11,270.00	10,270.00	10,270.00
Total Debt	15,398.0	14,634.0	13,270.0	13,270.0	11,270.0	10,270.0	10,270.0
Unearned revenues	99.00	88.00	-	-	-	-	-
Income taxes payable	-	-	-	-	-	-	-
Held for sale liabilities	38.00	-	-	-	-	-	-
Other liabilities	5,210.00	5,018.00	5,018.00	5,018.00	5,018.00	5,018.00	5,018.00
Total Liabilities	29,459.0	28,880.0	27,677.5	28,630.1	27,588.7	27,700.0	28,934.2
Common Equity	21,581.00	26,274.00	33,545.17	41,503.15	51,009.85	62,242.96	75,390.37
Liabilities & Equity	$51,040.0	$55,154.0	$61,222.6	$70,133.3	$78,598.5	$89,943.0	$104,324.6
Check	0.000	0.000	0.000	0.000	0.000	0.000	0.000

APPENDIX 6 : VALUATION MODEL (Cont..)

CASH FLOW STATEMENTS

		Projected				
	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29
Operating Activities:						
Net Income	$8,165.4	$9,888.1	$10,579.8	$12,081.2	$13,740.3	$15,566.0
Depreciation and amortization expense	1,706.0	1,927.6	2,005.2	2,076.9	2,289.4	2,075.6
Indefinite and long-lived asset impairment charges	7.0	0.0	0.0	0.0	0.0	0.0
Income tax provision less than income tax payments	(3,064.0)	0.0	0.0	0.0	0.0	0.0
Share-based compensation expense	2,648.0	2,570.1	2,830.9	3,115.4	3,434.1	3,789.2
Net losses (gains) on marketable securities and other investments	(349.0)	0.0	0.0	0.0	0.0	0.0
Impairment losses on marketable securities and other investments	79.0	0.0	0.0	0.0	0.0	0.0
Other items, net	(67.0)	0.0	0.0	0.0	0.0	0.0
Subtotal	9,125.4	14,385.8	15,415.9	17,273.6	19,463.8	21,430.8
Changes in Working Capital	1,223.0	(141.3)	(288.6)	(293.1)	(338.4)	(376.0)
Cash Flow from Operations	10,348.4	14,244.5	15,127.3	16,980.5	19,125.4	21,054.8
Investing Activities:						
Less: Capital Expenditures	(1,041.0)	(1,713.4)	(1,887.2)	(1,817.3)	(2,003.2)	(2,210.4)
Other items	(2,582.0)	0.0	0.0	0.0	0.0	0.0
Cash Flow from / (Used by) Investing	(3,623.0)	(1,713.4)	(1,887.2)	(1,817.3)	(2,003.2)	(2,210.4)
Cash Available for Debt Repayment	6,725.4	12,531.1	13,240.1	15,163.1	17,122.1	18,844.4
Financing Actitivies Capital Inflow / (Outflow):						
Revolver	**0.0**	**(1,364.0)**	**0.0**	**0.0**	**0.0**	**0.0**
Term Loan	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Sr. Sub. Notes	**0.0**	**0.0**	**(2,000.0)**	**(1,000.0)**	**0.0**	**0.0**
Cash Flow from / (Used by) Financing	**0.0**	**(1,364.0)**	**(2,000.0)**	**(1,000.0)**	**0.0**	**0.0**
Repurchases and retirements of common stock	(4,121.0)	(1,500.0)	(1,500.0)	(1,500.0)	(1,500.0)	(1,500.0)
Dividends paid	(3,687.0)	(3,952.7)	(4,189.9)	(4,441.3)	(4,707.8)	(4,990.2)
Other items	(930.0)	(1,364.0)	0.0	(2,000.0)	(1,000.0)	0.0
Net Increase / (Decrease) in Cash	**(1,082.6)**	**5,714.3**	**5,550.2**	**8,221.8**	**10,914.4**	**12,354.2**

APPENDIX 6 : VALUATION MODEL (Cont..)

DEBT SCHEDULE

		Projected				
		2025	2026	2027	2028	2029
Scheduled Debt Retirement						
Revolver		1,364.0	0.0	0.0	0.0	0.0
Term Loan		0.0	0.0	0.0	0.0	0.0
Sr. Sub. Notes		0.0	2,000.0	1,000.0	0.0	0.0
USES OF FUNDS						
Required Debt Retirement						
Revolver		1,364.0	0.0	0.0	0.0	0.0
Term Loan		0.0	0.0	0.0	0.0	0.0
Sr. Sub. Notes		0.0	2,000.0	1,000.0	0.0	0.0
Required Debt Retirement		1,364.0	2,000.0	1,000.0	0.0	0.0
Optional Debt Retirement	Prepay?					
Revolver	no	0.0	0.0	0.0	0.0	0.0
Term Loan	no	0.0	0.0	0.0	0.0	0.0
Sr. Sub. Notes	no	0.0	0.0	0.0	0.0	0.0
Optional Debt Retirement		0.0	0.0	0.0	0.0	0.0
Uses of Funds Subtotal		1,364.0	2,000.0	1,000.0	0.0	0.0
Excess Cash Added to Balance Sheet		19,016.1	24,803.4	35,276.7	45,457.5	57,094.1
Total Uses of Funds		**20,380.1**	**26,803.4**	**36,276.7**	**45,457.5**	**57,094.1**
SOURCES OF FUNDS						
Existing Excess Cash		$7,849.0	$13,563.3	$21,113.5	$28,335.4	$38,249.7
Cash Available for Debt Repayment		12,531.1	13,240.1	15,163.1	17,122.1	18,844.4
Subtotal		20,380.1	26,803.4	36,276.7	45,457.5	57,094.1
Incremental Revolver Borrowings		0.0	0.0	0.0	0.0	0.0
Total Sources of Funds		**20,380.1**	**26,803.4**	**36,276.7**	**45,457.5**	**57,094.1**
Check		0.000	0.000	0.000	0.000	0.000

APPENDIX 6 : VALUATION MODEL (Cont..)

VALUATION ANALYSIS

			Projected				
		2024	2025	2026	2027	2028	2029
		0	*1*	*2*	*3*	*4*	*5*
Free Cash Flow Calculation							
EBIT			$12,636.4	$14,154.4	$16,148.3	$18,258.1	$20,651.2
Plus: Depreciation and Amortization			1,927.6	2,005.2	2,076.9	2,289.4	2,075.6
EBITDA			**14,564.0**	**16,159.6**	**18,225.2**	**20,547.5**	**22,726.8**
Less: Capex			(1,713.4)	(1,887.2)	(1,817.3)	(2,003.2)	(2,210.4)
EBITDA Less Capex			**12,850.6**	**14,272.3**	**16,407.9**	**18,544.2**	**20,516.4**
Less: Taxes on EBIT	21.0%		(2,653.6)	(2,972.4)	(3,391.1)	(3,834.2)	(4,336.8)
Less: Changes in Working Capital			(141.3)	(288.6)	(293.1)	(338.4)	(376.0)
Unlevered Free Cash Flow			**10,055.7**	**11,011.3**	**12,723.6**	**14,371.6**	**15,803.7**
DCF Enterprise Value Calculation							
Terminal Value Calculation							
Terminal Value Growth Rate							4%
Projected Free Cash Flow							16,377.8
Discount Rate (WACC)							9%
Terminal Enterprise Value							300,473.3
Implied Term. Value EBITDA Multiple							13.2x
Discounted Cash Flows at WACC							
Unlevered Free Cash Flow			9,218.3	9,253.8	9,802.4	10,150.0	10,232.0
Terminal Value							194,539.1
Total Discounted Cash Flows		**243,195.6**	9,218.3	9,253.8	9,802.4	10,150.0	204,771.1

APPENDIX 6 : VALUATION MODEL (Cont..)

Operating Assumptions

REVENUE BUILD UP

Equipment and Services			2025	2026	2027	2028	2029
	1	Management Case	12.00%	12.00%	11.75%	11.75%	11.75%
	2	Base Case	10.00%	10.00%	9.75%	9.75%	9.50%
	3	Downside Case	8.00%	8.00%	7.75%	7.75%	7.50%
Active Case		Management Case	12.00%	12.00%	11.75%	11.75%	11.75%

Licensing			2025	2026	2027	2028	2029
	1	Management Case	-1.00%	-1.00%	-1.50%	-1.50%	-2.00%
	2	Base Case	-3.00%	-3.00%	-3.50%	-3.50%	-4.00%
	3	Downside Case	-5.00%	-5.00%	-5.50%	-5.50%	-6.00%
Active Case		Management Case	-1.00%	-1.00%	-1.50%	-1.50%	-2.00%

Revenue Growth			2025	2026	2027	2028	2029
Active Case		Management Case	9.94%	10.15%	10.05%	10.23%	10.34%

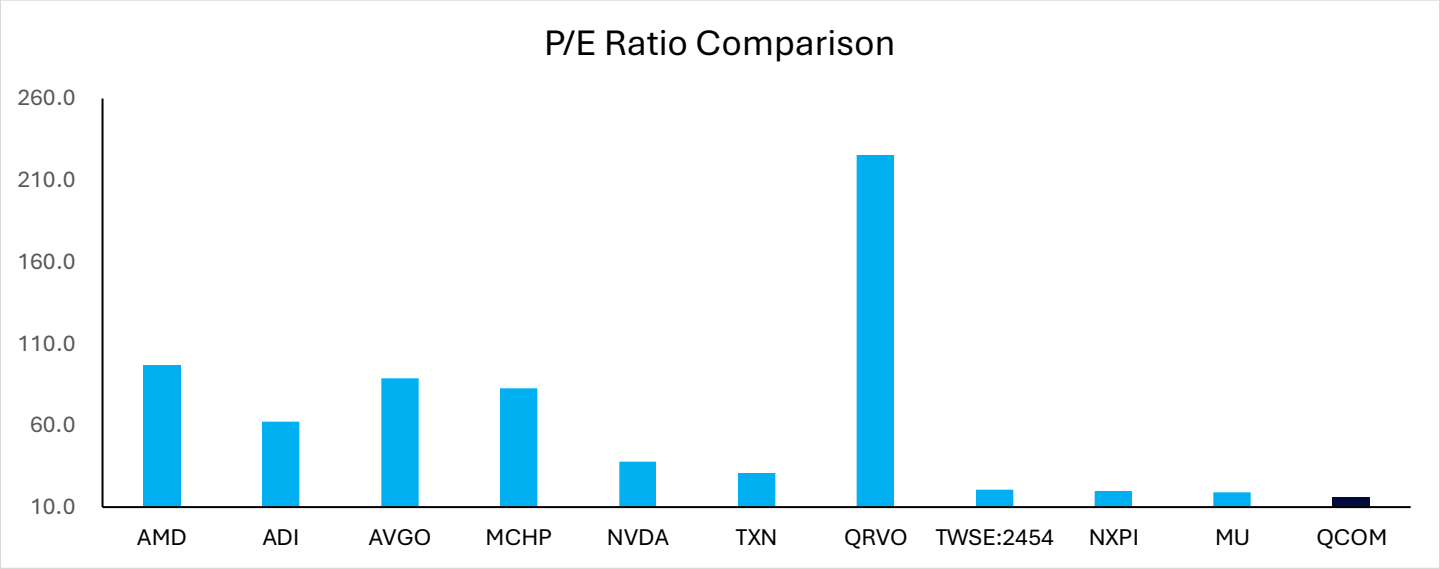
COGS %			2025	2026	2027	2028	2029
	1	Management Case	42.00%	42.00%	41.40%	41.10%	40.80%
	2	Base Case	43.00%	42.70%	42.40%	42.10%	41.80%
	3	Downside Case	44.00%	44.00%	43.40%	43.10%	42.80%
Active Case		Management Case	42.0%	42.0%	41.4%	41.1%	40.8%

Research and Development %			2025	2026	2027	2028	2029
	1	Management Case	21.00%	21.00%	21.00%	21.00%	21.00%
	2	Base Case	22.00%	22.00%	22.00%	22.00%	22.00%
	3	Downside Case	23.00%	23.00%	23.00%	23.00%	23.00%
Active Case		Management Case	21.0%	21.0%	21.0%	21.0%	21.0%

Sales and General Admistrative Costs			2025	2026	2027	2028	2029
	1	Management Case	6.50%	6.00%	5.50%	5.00%	4.50%
	2	Base Case	7.00%	7.00%	6.50%	6.50%	6.00%
	3	Downside Case	7.50%	7.50%	7.00%	7.00%	6.50%
Active Case		Management Case	6.5%	6.0%	5.5%	5.0%	4.5%

Capex/Store			2025	2026	2027	2028	2029
	1	Management Case	3.50%	3.50%	3.25%	3.25%	3.00%
	2	Base Case	4.00%	4.00%	3.50%	3.50%	3.50%
	3	Downside Case	4.50%	4.50%	4.00%	4.00%	4.00%
Active Case		Management Case	3.50%	3.50%	3.25%	3.25%	3.00%

APPENDIX 7: COMPARATIVE COMPETITOR METRICS



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